



ALL THAT GLITTERS

GOLD IMPORT

DEPENDENCY
85-90%



AKSHAYA TRITIYA IS

considered one of the most auspicious days to buy gold and jewellery in India.

Millions throng to jewellery stores and make purchases, even if small. This year, as people celebrated Akshaya Tritiya on April 19, compared with last year, gold prices had soared close to 60% from around ₹94,000 to ₹1.51 lakh. That had some impact on volumes, say jewellers, although in value terms sales were still higher because of heightened prices.

The Confederation of All India Traders reported business exceeding ₹20,000 crore in gold and silver this year, compared with ₹16,000 crore the previous year.

Gold has been passed down generations as a family tradition; some see it as a financial asset others see it as a store of value—an emergency backup. India on average consumes around 700-800 tonnes of gold each year. Across states and cultures, gold has a huge significance.

According to estimates, Indian households hold over 32,000 tonnes of gold. And yet each year more gold is bought. The problem is the lack of domestic gold mines. Therefore, close to 85-90% of the gold is imported. According to Statista, India imported close to ₹5 lakh crore worth of gold in just FY25.

Such massive amounts of imports put pressure on the rupee against the US dollar. This is because when gold imports rise, demand for dollars increases.

This, in turn, leads to a wider trade deficit and depletes the foreign exchange reserves. In a year, where the rupee has already been under immense pressure amid a surge in oil prices due to the conflict in West Asia and heavy selling in the equity market by foreign portfolio investors, continued gold imports only amplify the pressures.

Not surprising that Prime Minister Narendra Modi urged Indians to not buy gold for a year. Soon after, the import duty on gold was raised to 15% from 6% in May 2026 in the hope that the resultant high prices will curb demand.

In 2025, gold prices climbed over 70% last year amid geopolitical tensions and US tariff-

THE YELLOW METAL

► **India is the world's second-largest gold consumer and on average consumes 700-800 tonnes of gold each year, but 85-90% of the demand is dependent on gold imports**

► **In 2025-26, India imported 721 tonnes of gold, compared with 757 tonnes in 2024-25, according to SBI Research**

► **Despite the slightly lower volumes, value of gold imports surged to \$72.4 billion in 2025-26 from \$57.9 billion in 2024-25 as gold prices rose 60% in 2025-26**

► **Gold is among the top five imports for India, accounting for around 9% of its annual merchandise imports. Higher imports lead to a wider trade deficit and in turn puts pressure on the current account deficit**